

Unit - I

Entrepreneurship Entrepreneur

⇒ Entrepreneurship means starting a new business (or) venture by taking risk in order to earn profit.

- It involves identifying an idea, planning, & running the business.

- The key features are:

- a) Innovation: - It involves new ideas, products & methods.
- b) Risk taking: - Entrepreneurs take financial & career risks.
- c) Resource management:
 - proper use of money, people & materials.
- d) Profit oriented:
 - Main aim is to earn profit & growth.

Importance of Entrepreneurship

- Economic Development
- Employment Generation
- Improves Standard of living
- Innovation & Technology Growth.
- Balanced Regional development.

Entrepreneur:

- It is a person who starts, organizes & manages a business & takes risks to earn profit.

Characteristics:

- Risk taking ability
- Innovative thinking
- Leadership quality.
- Decision making skill
- Self confidence.
- Goal oriented.

Functions of an Entrepreneur:

- planning: Decides business goals & strategies.
- organizing: ~~Arranges~~ Arranges resources like money, labor etc..
- Managing
- Risk Bearing
- Innovating.

Types of Entrepreneur:

- There are many types.

(i) Innovative Entrepreneur:

- Brings new ideas, products (or) technology.

- focuses on innovation & creativity.

Ex: creating a new app (or) AI tool.

(ii) Imitative Entrepreneur; (Adoptive).

- In this it copies (or) Improves existing business ideas.

- ~~Doesn't~~ doesn't create new ideas but follows successful ones.

(iii) Fabian Entrepreneur;

- It is very careful & slow in decision making.

- It adopts new ideas only when necessary.

(iv) Small scale Entrepreneur;

- It starts business with low investment.

- It operates on a small level.

ex: Small shops, local businesses.

(v) Large scale Entrepreneur;

- Runs business on a big level.

- It uses advanced tech & large investment.

ex: Big industries & companies.

(vi) Social Entrepreneur

- works for social welfare, not just profit.

- Solves problems like poverty, education, environment.

- It focus on helping society.

(vii) Women Entrepreneur;

- A business started & managed by a woman.
- It encourages women empowerment.

Difference b/w Entrepreneur & Intrapreneur Entrepreneurship in economic growth.

Entrepreneur	Intrapreneur.
- Starts own business - Uses own resources - Takes full risk - Independent decision making. - Gets full profit. - Creates new company	- works within an existing company. - Uses company resources - Risk is takes by company. - Limited freedom (within company rules) - Gets salary + incentives - Improves existing company.
Ex: "Owner of company"	Ex: An employee working in Google company.

Factors Affecting Entrepreneurial Growth :-

⇒ Entrepreneurial growth depends on many factors.

- These factors can either support (or) create obstacles for entrepreneurs.

(i) Economic factors :-

→ Availability of capital (money).

- Access to raw materials
- Markets demand for products.
- Money & market conditions affect business growth.

(ii) Social factors :-

- Society's attitude towards business.
- Education & awareness.
- Support from family & community.
- Society should support entrepreneurship.

(iii) Culture factors :-

- Some ~~at~~ cultures encourages business, others prefer jobs.
- So, ~~at~~ cultures influences mindset.

(iv) political factors :-

- Govt policies & stability.
- Tax rules & business regulations.
- Some Good govt policies help businesses grow.

(v) technological factors :-

- Availability of new tech.
- Internet & digital tools.
- tech makes business easier & faster.

(vi) Legal factors :-

- Business runs through law & regulations.
- Licensing & registration process.
- Easy laws encourage entrepreneurs.

(vii) Infrastructure :-

- The transport, electricity, Communication facilities.
- Good facilities support business operations.

(viii) financial support :-

- Loans from banks & financial institutions.
- Govt schemes.
- Easy funding helps startups grow.

Role of Entrepreneurship in economic Growth

- Entrepreneurship plays a very imp role in developing a country's economy.

- (i) Employment Generation.
- (ii) Economic development
- (iii) Innovation & tech.
- (iv) Improves standard of living.
- (v) ~~Encourages~~ Encourages Exports.
- (vi) Wealth creation.